

business over time. Quarterly earnings hardly matter. If it is a publicly traded company (some family enterprises are), movements in the stock price are largely irrelevant. Often, families have their own view of what the shares are worth. When prices fall below that level, they buy more shares. When prices rise above that level, they sell them. In no circumstance do family-owned businesses allow managers to undermine the value of their reputation or their patrimony.

Family shareholders are the kind of capitalists that capitalism needs. They are willing to make investments over years—even over generations—in order to build the value of their business. The business represents the family's financial and professional capital. They guard it, protect it, and nurture it. And they use time to do what no public company can afford to do: compound their knowledge, skills, and capital over generations. It is not the price of the shares that matters to them; it is the value of those shares. And it is not next week that they worry about, but the next generation.

WHAT KIND OF BUSINESS SHOULD YOU BE IN?

If you can ride a major boom in a new industry, like the Internet, at the tipping point, do it. If not, look for businesses that are not “prestige” enterprises. Instead, aim for something such as a chain of car washes, dry cleaners, or salvage firms.

The possibilities are too numerous, and our own knowledge is too limited, for us to give much specific guidance. But if you want to make a family fortune, pick a difficult industry, with high barriers to entry, low prestige, and little liquidity. Make it hard to get in—and hard to get out.

And make sure it is scalable. You can't make any real money selling your time, hour by hour. You want a business where you can leverage your time.

There is one other thing about family money that makes it different from other kinds of money—and one thing about the kind of business that supports family money that makes it different from other businesses. If you are a typical businessman or investor, you want a business that is as